MULTIPLE PAGE COMMUNICATION TO THE COMMON COUNCIL

TO: THE COMMON COUNCIL

DATE: October 22, 2020

FROM: Management Information Systems

SUBJECT: Proposed Agreement with the SAS Institute

PRIOR COUNCIL REFERENCE: (IF ANY)
Ex. (Item No. 20-330, C.C.P. 03/17/20)

The City of Buffalo Department of Management Information Systems (the "Department") is positioned to engage The SAS Institute Inc ("SAS") for the creation of a data analytics center that would use a cloud-based system to examine City practices and use predictive modeling to determine best practices.

As part of the City's ongoing police reform efforts, we have decided that police training and practices will be the first use of this new technology. Having actual data, analyzed in real-time and generating real world recommendations will be instrumental in assessing the effectiveness of our police reform efforts and guide further policy or legislative changes that will improve policing before issues arise in the community and cause potential harm to residents.

The City's negotiating team has locked in a price of $1.3 million for year one of this three-year project while years two and three will be $800,000. $500,000 of those costs will be one-time purchases made in the first year, while the remaining $800,000 will be annually recurring over the life of the project.

A robust cancellation policy has been built into the contract ensuring the City will be held harmless if the federal aid we are anticipating does not materialize and we are unable to meet this financial obligation. However, deferring this project could lead to other fiscal cost drivers related to our inability to judge how effective our police reforms are.

In addition to the analytics environment we are procuring for the police department, SAS is committed to providing residents with opportunities to learn data science skills as part of a workforce development effort. This is a value-added proposition and will not incur any additional costs to the City.

The City can expect to see results for this data analysis within six to eight months of entering into the contract. This will in part be dependent on how quickly staff can be trained on the new system and how fast information being generated by the police department is entered into the system. Once the initial training is done and the information management flow is established, analysis reports can be generated in real time.

The City will also retain the ability to expand the analytics environment to assess and predict the effectiveness of other operations, including public works operations, vehicle maintenance, or neighborhood service delivery. Expanding to these other areas over time is something we should collectively consider and prepare to negotiate with SAS as time goes on.

Accordingly, the Department requests your Honorable Body to:

1. Grant the Commissioner and the Department the specific authority to enter into an agreement in form and substance similar to the agreement attached hereto and expend up to $1,300,000 during year one to achieve these objectives,
2. Authorize the Department and or other appropriate City staff to take all such steps and actions and to execute and or process such additional documentation, agreements and or modifications thereto as shall be necessary to facilitate and implement the terms and provisions of these objectives and the agreement, and
3. Direct the Corporation Counsel and other appropriate City and Department personnel to negotiate to finalization said agreement and other necessary documentation and agreements wherever necessary for execution and actual implementation of the above tasks and objectives.

DEPARTMENT HEAD NAME: DARYL SPRINGER
TITLE: COMMISSIONER
DEPARTMENT: MANAGEMENT INFORMATION SYSTEMS

SIGNATURE OF DEPARTMENT HEAD:

Master License Agreement Number _____

Master License Agreement

SAS Institute Inc. ("**SAS**") World Headquarters SAS Campus Drive • Cary, North Carolina 27513 Tel: (919) 677 8000 • Fax: (919) 677 4444 http://www.sas.com	Customer Name: City of Buffalo ("**Customer**")
	Street Address: 65 Niagara Square, Room 201
	City, County, State, Country, Zip Code: Buffalo, New York 14202
	Taxpayer ID Number:

1. Agreement Structure.

1.1 MLA; Supplements; Conflicts. SAS and Customer enter into this Master License Agreement ("**MLA**") in North Carolina as of the last date of signing. Customer and its Related Entities, as defined below, may license SAS® software ("**Software**") or may acquire services ("**Services**") from SAS by executing supplements to this MLA ("**Supplements**"). Each Supplement will identify the entity that will be deemed "Customer" for the purposes of that Supplement. This MLA and each such Supplement (collectively, "**Agreement**") govern Customer's license of Software listed on the applicable Supplement and related on-line documentation made available by SAS with each license of the Software ("**Documentation"**) or Customer's acquisition of Services listed on the applicable Supplement. In the event of a conflict between this MLA and a Supplement, the applicable Supplement shall prevail with respect to the Software licensed or Services acquired thereunder.

1.2 Related Entities. A Related Entity may license Software or acquire Services by signing a Supplement referencing this MLA and paying the applicable Software license fees or Services fees. In such event, the Related Entity shall be the "Customer" and shall be deemed to have adopted all the terms and conditions of this MLA for purposes of that Supplement. One Customer may not access a different Customer's licensed Software even though the Supplements reference this same MLA. A "**Related Entity**" is either (i) a separate legal or governmental entity located in the same county as Customer and shall include its related agencies and public authorities which fall under the control of Customer, or (ii) a Public Authority performing services on behalf of Customer. "Control" means under the statutory or other documented legal authority over the general budget and contracting rights of such entity. "Public Authority" means an entity acting on behalf of, or performing services for the specific benefit of, Customer and is located within the City of Buffalo. As of the effective date of this MLA, permitted Public Authorities shall be limited to the following: Buffalo Municipal Housing Agency, Buffalo Urban Renewal Agency, Buffalo Urban Development Corporation, Buffalo Sewer Authority, Buffalo Water Authority, Buffalo Civic Auto Ramps. Additional Public Authorities may be added upon mutual agreement of the parties.

1.3 Software. The specific Software offerings licensed to Customer are listed on the Supplement. SAS will list Software subcomponents on the Supplement only if the pricing metrics, operating systems and/or Authorized Hardware for subcomponents differ from that of the Software or if there is a choice of subcomponent.

2. Standard Usage Rights. Unless the parties have agreed upon nonstandard or additional usage rights in a Supplement, Customer may use the Software only in accordance with the following standard usage rights.

2.1 License Grant. SAS grants Customer a nonexclusive, nontransferable, nonassignable license to install and use the Software and Documentation in one (1) Territory, as defined in the Territory subsection of this MLA, and for the benefit of one (1) Customer entity's operations in the Territory. Except to the extent allowed by law, Customer may not use the Software or Documentation (a) to create a commercial offering or product directly or indirectly competing with an offering or product from SAS, or (b) for the benefit of any person or entity where such use may result in the creation of a commercial offering or product directly or indirectly competitive with an offering or product from SAS. Customer may install the Software only within the Authorized Hardware configuration described in the applicable Supplement. Software usage shall be limited to the license scope restrictions described in this MLA and additional license scope restrictions, if any, described in the applicable Supplement. Customer may use the Documentation solely in support of its authorized and licensed usage of the Software. The license is an annual license renewed at the mutual agreement of the parties. Renewal is accomplished by SAS sending an invoice for the applicable Software license renewal fees and Customer paying the invoice.

2.2 Processing Data Through the Software. Customer may process only the following types of data through the Software: (a) Customer's data derived from Customer's operations in the Territory ("Customer Data"); (b) data purchased, licensed or leased from a third party by Customer; and (c) publicly available data (for example, national census data) ((a) – (c) collectively, "**Permitted Data**"). For clarification purposes, Customer Data excludes aggregated data from other sources and data from Related Entities. Notwithstanding the foregoing, Customer may process aggregated data, including aggregated Related Entity data, solely in support of Customer's operations in the Territory. Customer may not process any data, including Permitted Data, through the Software in a data service provider, application service provider, solution service provider or marketing service provider arrangement, nor in any similar arrangement for which Customer provides results derived from use of the Software to third parties or Related Entities nor may Customer use such results for the benefit of third parties or Related Entities, unless permitted in a Supplement.

2.3 Users. Only Customer's employees and contractors who are located in the Territory and who are performing work solely for the benefit of Customer's operations in the Territory (collectively, "**Users**") may access and use the Software and Documentation. However, Customer may permit employees and contractors located outside the Territory to access the Software and Documentation solely to perform activities related to the technical support and maintenance of the Software and the Authorized Hardware provided Customer allows such access only through a secure remote connection to Customer's Authorized Hardware, as defined in the Authorized Hardware subsection of this MLA. Upon reasonable request, Customer will identify any such contractors to SAS by name and address.

2.4 Territory. Each Supplement shall identify the geographical territory in which the Software may be installed and used and from which it may be accessed ("**Territory**"). Standard license rights allow Customer to install, use and access the Software

within and from a single Territory. However, as an accommodation to Customer, SAS authorizes Customer to permit Users to travel outside the Territory with Software licensed for use on personal computer Authorized Hardware for up to a total of three (3) months during each annual license period.

2.5 Authorized Hardware; Multi-Tier Configurations; Installations; Operating Systems.

2.5.1 Authorized Hardware. "**Authorized Hardware**" is the computer hardware on which Customer is authorized to install and use the Software, as described in the applicable Supplement. Except as otherwise provided in the Territory subsection of this MLA, all Authorized Hardware must be located in the Territory. If the Authorized Hardware is personal computer hardware, the Authorized Hardware must be owned or leased by Customer or Customer's employees. The term "**personal computer**" includes desktop computers, laptop computers, tablet computers, handheld computers, mobile devices and any other computing device running a personal computer or mobile operating system. All other Authorized Hardware must be owned or leased by Customer and located on Customer's premises. Some Software is not available for use on all types of Authorized Hardware. Customer must notify SAS of changes to any Authorized Hardware listed on a Supplement. Customer may not share its usage of the Software by allowing other parties to time-share Customer's Authorized Hardware.

2.5.2 Installations. Unless otherwise set forth in a Supplement, each Software license entitles Customer to a single configured installation of the Software. For any Software offering designed for operation across multiple hardware tiers as described in its Documentation, the term "**single configured installation**" includes installation of subcomponents of the Software on multiple hardware tiers which operate together as a single configuration. For all other Software, "**single configured installation**" includes installation of the Software on a single item of Authorized Hardware or on the number of items of Authorized Hardware specified on the applicable Supplement.

2.5.3 Back-up Installations. In addition to the installations authorized in the applicable Supplement, Customer may install the Software on back-up hardware that is inactive or dormant ("**Back-up Hardware**"). If Customer wishes to implement a back-up system with Software that is operable or active, additional fees may apply. In the event the Software installed on the Authorized Hardware fails to operate due to unforeseen natural or human-induced events, Customer may activate the Back-up Hardware until the failure can be rectified. Customer must contact SAS prior to activating the Back-up Hardware to request a Product Authorization Code that will enable the Software to operate on the Back-up Hardware.

2.5.4 Operating Systems. Customer may use the Software only with the operating system listed on the applicable Supplement. Not all Software operates on all operating systems.

2.6 Report Access. SAS recognizes that Customer may create reports using the Software that Customer makes available to parties other than Users who may or may not be located in the Territory ("**Report Access**"). Such Report Access shall not be deemed to be outside the license rights granted under this MLA as long as: (a) the reports are static (that is, a party other than Users cannot manipulate the results or customize the reports) and (b) the reports have been created using Permitted Data.

3. Fees. License fees for each Software product are based on the applicable pricing metric and the usage rights and limits set forth in the Agreement. First year fees, pricing metrics and any non-standard usage rights are listed on the Supplement. Renewal fees are listed on invoices and may vary each year, provided that renewal fees may be listed on a Supplement if the parties have entered into a non-standard multi-year license. Prior to any license renewal period, SAS may propose pricing metric changes.

4. Product Authorization Code. The "**Product Authorization Code**" is a component of the Software that enables the Software to operate for the applicable annual license period. Customer may allow Users to access only Software licensed to Customer for which Customer receives a Product Authorization Code. Customer shall not allow Users to install or attempt to use other SAS software contained on media received from SAS. At each new license period, or if required as a result of changes in Authorized Hardware or Software, Customer must apply a new Product Authorization Code to keep the Software operating. SAS is not required to provide the Product Authorization Code if Customer is in breach of the Agreement or has not paid any undisputed amounts due under the Agreement. SAS is not liable for damages caused by the resulting Software interruption. Customer may allow only Users to access the Product Authorization Code. Customer acknowledges and agrees that the Product Authorization Code is SAS' confidential and proprietary information.

5. Copying. Customer may copy the Software only for (a) disaster recovery and back-up purposes as permitted pursuant to the Back-up Installations subsection of this MLA, and (b) installation of personal computer Software authorized under the Agreement. All copies remain the property of SAS. Customer may deliver a copy of the Software to a disaster recovery contractor to perform temporary disaster recovery work for Customer. Customer shall give SAS the name and address of the disaster recovery contractor before delivery. The identical copyright notices and any other proprietary rights notices found on the original Software media must be reproduced on all copies of the Software.

6. Title; Source Code. Title to the Software and its Documentation remains with SAS and its licensors at all times. Copyright notices and other proprietary rights notices in the Software or Documentation shall not be deleted or modified. The Agreement does not transfer any ownership rights. Source code from which the Software object code is derived ("**Source Code**") is not being provided and is a trade secret of SAS and SAS' licensors to which access is not authorized. Neither Customer nor any other User shall reverse engineer, reverse assemble or decompile the Software or in any way attempt to recreate the Source Code, except and only to the extent applicable laws specifically prohibit such restriction.

7. Technical Support. During the term of the Software license, SAS will use reasonable efforts, either by telephone or electronically, to help Customer solve specific problems with installation or use of the Software within the Territory as documented at the support link at support.sas.com, which may be updated from time to time. Customer may obtain additional support services from SAS by executing a Supplement for Services and paying applicable additional fees to SAS. It may not be possible for SAS to solve all problems or correct all errors in the Software. From time to time, SAS may make available, and Customer agrees to use reasonable efforts to install, new releases, updates and corrective code. During ongoing Software development, SAS may add, change or delete individual components or functionality in new releases. Such Software modifications shall be subject to the terms of the Agreement. If Customer chooses not to install the most current release of the Software, the level of technical support may diminish over time. SAS' obligations in this section are subject to the following: Customer shall: (a) when requesting technical support, notify SAS of any modifications to the Software not made by SAS, or at the direction of SAS; and (b) establish technical contacts with knowledge about the Software and Customer's use of the Software who will be qualified to provide SAS with information necessary for SAS to diagnose and remedy any problems with the Software. Failure to comply with these terms may result in longer response and resolution times.

8. Payment.

8.1 Invoices. SAS will invoice Customer (a) upon Customer's execution of a Supplement and prior to each subsequent license period for any Software license fees due and (b) as specified in the applicable Supplement for any Services fees due. Payment

terms for all invoices are net thirty (30) days. License and Services fees do not include applicable taxes. SAS will use reasonable efforts to include all taxes applicable to Customer on the relevant invoice and Customer agrees to pay such taxes to SAS; however, Customer is responsible for taxes on its licensing of the Software and acquisition of Services. Customer is not responsible for taxes based on SAS' income. Except as otherwise allowed in the Agreement, refunds are not available after the Product Authorization Code has been provided.

8.2 Customer Changes. Customer shall notify SAS by phone or in writing to change operating systems, Authorized Hardware or any factor affecting the applicable pricing metric or any applicable usage rights. These changes may result in additional license fees which are calculated as of the date of the change, invoiced upon receipt of notice from Customer and payable in accordance with the Invoices subsection of this MLA.

8.3 Third Party Payments. Customer may, by written notice to SAS, designate a third party to pay Software license fees or Services fees on Customer's behalf. Customer shall be responsible for any related charges assessed by such third party. When a third party is designated by Customer to pay fees under the Agreement, SAS will send its standard notices regarding fees only to such third party, but all payments due under the Agreement will remain Customer's ultimate responsibility.

9. Customer Obligations. Customer shall: (a) be responsible for verifying the accuracy of its data input and output while using the Software, (b) be responsible for ensuring that all data and software used with the Software is adequately duplicated, documented, and protected; (c) inform all parties authorized to use the Software of the relevant terms of the Agreement and be responsible for their adherence to such terms and (d) keep records of where the Software is installed and used and the extent of usage of the Software relative to the applicable pricing metrics and usage rights and provide a copy of such records to SAS upon request.

10. Limited Warranties and Representations.

10.1 Warranties by SAS; Remedies.

10.1.1 SAS warrants that it has the right to license the Software and Documentation to Customer. The exclusive remedy for breach of this warranty is set forth in the Indemnification section of this MLA.

10.1.2 SAS warrants that each commercially available release of the Software shall substantially conform to its Documentation including any updates thereto, and that the Software and the media on which it is installed shall be free of software viruses when received by Customer. As the exclusive remedy for breach of these warranties, SAS, at its option, shall: (a) repair the Software; (b) replace the Software; or (c) terminate the Software license and refund the fees paid for the Software at issue during the then-current annual license period.

10.2 Warranty Disclaimers by SAS. **SAS DISCLAIMS ALL OTHER WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE, OR ARISING AS A RESULT OF CUSTOM OR USAGE IN THE TRADE OR BY COURSE OF DEALING. WITHOUT LIMITING THE GENERALITY OF THE FOREGOING, SAS DOES NOT WARRANT OR REPRESENT THAT CUSTOMER'S USE OF THE SOFTWARE WILL RESULT IN CUSTOMER'S COMPLIANCE, FULFILLMENT OR CONFORMITY WITH THE LAWS, RULES, REGULATIONS, REQUIREMENTS OR GUIDELINES OF ANY GOVERNMENTAL AGENCY.**

11. Exclusions of Damages; Limitation of Liability.

11.1 Exclusions of Damages. **NEITHER CUSTOMER NOR SAS IS LIABLE FOR SPECIAL, INCIDENTAL, INDIRECT, CONSEQUENTIAL, PUNITIVE, OR RELIANCE DAMAGES (ARISING IN TORT, CONTRACT OR OTHERWISE), EVEN IF THEY HAVE BEEN INFORMED OF THE POSSIBILITY OF SUCH DAMAGES. SAS IS NOT LIABLE FOR ANY CLAIM AGAINST CUSTOMER BY ANY PARTY RELATING TO USE OF THE SOFTWARE, EXCEPT AS SET FORTH IN THE INDEMNIFICATION SECTION OF THIS MLA. THE PARTIES MAKE THESE EXCLUSIONS IN CONSIDERATION OF THE FEES PAID AND LICENSES GRANTED UNDER THE AGREEMENT.**

11.2 Limitation of Liability. **THE TOTAL AMOUNT CUSTOMER MAY RECOVER FOR ALL CLAIMS RELATING TO THE AGREEMENT IS LIMITED IN THE AGGREGATE TO THE FEES PAID FOR THE SOFTWARE AT ISSUE DURING THE RELEVANT ANNUAL LICENSE PERIOD AND FOR THE SERVICES AT ISSUE.**

11.3 Applicability. This section does not apply to the indemnification obligations in the Indemnification section of this MLA or to either party's violation of the other's intellectual property rights. The limitations in this section shall apply even if any of the remedies provided in the Limited Warranties and Representations section of this MLA fail of their essential purpose. Some jurisdictions do not allow limitations of liability or exclusions for incidental or consequential damages, so certain provisions of this section may not apply to Customer; however, they apply to the greatest extent permitted by applicable law.

12. Third Party Licensor Disclaimers and Limitations of Liability. SAS may embed subcomponents from third party vendors (collectively, **"Third Party Licensors"**) in the Software. The terms of the Software license and this Agreement apply to any embedded subcomponents. Third Party Licensors require the additional terms in Sections 12.1 and 12.2:

12.1 **THIRD PARTY LICENSORS DISCLAIM ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE, OR ARISING AS A RESULT OF CUSTOM OR USAGE IN THE TRADE OR BY COURSE OF DEALING. THIRD PARTY LICENSORS PROVIDE THEIR SOFTWARE "AS IS."**

12.2 **THIRD PARTY LICENSORS ARE NOT LIABLE FOR DIRECT, SPECIAL, INCIDENTAL, INDIRECT, CONSEQUENTIAL, PUNITIVE, OR RELIANCE DAMAGES (ARISING IN TORT, CONTRACT OR OTHERWISE), OR FOR ANY CLAIM MADE AGAINST CUSTOMER BY ANY PARTY EVEN IF THEY HAVE BEEN INFORMED OF THE POSSIBILITY OF SUCH DAMAGES.**

12.3 Nothing in this Section nullifies SAS' express warranties or liabilities relating to the Software, including its embedded subcomponents.

13. Indemnification. Provided Customer uses the Software consistent with the terms and conditions of the Agreement and complies with this section, SAS will defend, indemnify and hold harmless Customer, as described below, with respect to any claim made against Customer for: (a) copyright, patent, trade secret or other intellectual property rights violation relating to the Software; or (b) bodily injury, death or damage to tangible property, excluding loss of or damage to software or data, arising solely from actions for which SAS is legally responsible. Customer agrees to promptly notify SAS in writing of any such claim, to allow SAS to control the litigation or settlement of any such claim and to cooperate with SAS in the investigation, defense and settlement thereof. SAS shall indemnify Customer by paying for the costs and attorneys' fees Customer incurs at SAS' direction and any judgment finally awarded against Customer or settlement approved by SAS. Customer may participate at Customer's own expense. If such claim in (a) above is made or, in SAS' opinion, is likely to be made, then SAS, at its option, may: (1) modify the Software; (2) obtain rights for Customer to continue using the Software; or (3) terminate the license for the Software at issue and refund the then-current annual license fee paid for such Software, but in no event shall termination relieve SAS from its obligation to defend and indemnify Customer as set forth herein. Customer agrees to

abide by SAS' decision and, if appropriate, install a different version of the Software or stop using the Software. This indemnification obligation does not apply to the extent: (i) a claim is based on Customer's combination of the Software with other software, or modification to the Software; or (ii) as of the date the claim arose, Customer had not installed the latest version of, or update to, the Software as instructed by SAS prior to such date.

14. Termination; Expiration. SAS or Customer may terminate the Software license for a breach of the Agreement if not cured within thirty (30) days of the breaching party's receipt of the non-breaching party's written notice. SAS may terminate the Agreement immediately for any violation by Customer of SAS' intellectual property rights. Obligations in the Agreement that by their nature are continuing will survive termination or expiration. Upon termination or non-renewal of each Software license hereunder, or when a User, Related Entity or disaster recovery contractor is no longer authorized to access the Software, Customer agrees to reclaim, delete, and destroy the Software at issue, along with any related Documentation.

15. Governing Law; Export and Import Restrictions. The laws of New York, excluding choice of law provisions, govern the Agreement. SAS hereby notifies Customer that because the Software is of United States origin, United States export laws and regulations apply to the Software. Both parties agree to comply with these and other applicable export and import laws and regulations. The parties expressly agree to exclude from the Agreement the United Nations Convention on Contracts for the International Sale of Goods.

16. General.

16.1 Severability. If a court of competent jurisdiction finds any part of the Agreement unenforceable, that part is excluded, but the remainder of the Agreement shall remain in full force and effect.

16.2 No Waiver. Failure to require compliance with a part of the Agreement is not a waiver of that part. Nothing in this subsection waives any remedy SAS may have under the Agreement at law, in equity, or otherwise.

16.3 Non-assignment. Customer may not assign the Agreement or any of its rights or obligations hereunder whether voluntarily or involuntarily, and whether by means of merger, consolidation, sale of assets, dissolution, operation of law, or by any other manner, without SAS' written permission, which permission will not be unreasonably withheld. Any purported assignment or delegation in violation of this section is void and constitutes a material breach of the Agreement.

16.4 Audit. Upon fifteen (15) business days' notice to Customer, SAS will have the right to conduct an on-site audit during Customer's normal business hours to verify compliance with the terms and conditions of the Agreement. Customer shall cooperate with SAS by: (a) making applicable records available; (b) providing copies of the records requested; and (c) directing all agents to cooperate. If the audit reveals that Customer owes additional license fees, Customer shall pay the amounts owed and SAS' reasonable expenses in conducting the audit.

16.5 Injunctive Relief. Breach of SAS' or its licensors' intellectual property rights will lead to damages not adequately remedied by an award of money; therefore, SAS may protect those intellectual property rights through temporary restraining orders or injunctions, without the obligation of posting bond.

17. Complete Agreement; Modifications. The Agreement and invoices arising under it are the parties' complete and exclusive statement relating to their subject matter. Modifications must be in writing, signed by both parties, and specifically reference the Agreement. Additional or conflicting terms on current or future Customer or third party purchasing documents are expressly objected to and rejected.

The individuals signing below represent they have authority to bind the named parties to this MLA.

Accepted by:

Customer: City of Buffalo

By _____
Authorized Signature

_____
Name (type or print)

_____
Title

On _____
Date

SAS Institute Inc.

By _____
Authorized Signature

_____
Name (type or print)

_____
Title

On _____
Date

LGL3530/Feb20

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Master License Agreement Number _____

Supplement Number 1 (“Supplement”)

to Master License Agreement (“**MLA**”)

SAS Institute Inc. (“**SAS**”)
World Headquarters
SAS Campus Drive • Cary, North Carolina 27513
Tel: (919) 677 8000 • Fax: (919) 677 4444
http://www.sas.com

Customer Name: City of Buffalo (“**Customer**”)	
Street Address: 65 Niagara Square, Room 201	
City, County, State, Zip Code: Buffalo, New York 14202	Country (the “**Territory**”) United States
Taxpayer ID Number:	Currency Type:

FOR SAS USE ONLY

SUPPLEMENT GRID

Software and Subcomponents[1]		Applicable Pricing Metric, Number of Authorized Units[2]	Operating System[3]	Authorized Hardware (CPU/Server Manufacturer, Model type/Serial No.)[3]	License Fees (in above Currency Type)	License Beginning Date	Anniversary Date
Software:	**SAS Unified Insights**	Total Budget (up to $2B) SAS Hosting	To be defined by customer in writing	To be defined by customer in writing	See Section 6.2		
Software:	**Training Package**	SAS Training Package	To be defined by customer in writing	To be defined by customer in writing			

1. When licensed alone or as a Software subcomponent, SAS AppDev Studio software may be used for development purposes only. SAS will list subcomponents only if the pricing metrics, operating systems and/or Authorized Hardware for subcomponents differ from that of the Software or if there is a choice of subcomponents. Unless otherwise noted, subcomponents listed here are included in the Software license fee for the Software product with which they are licensed or provided.
2. The pricing metric is used to derive license fees; for example, but without limitation, Capacity Based, Total Users, PC Use, etc. as described in the Pricing Metrics section of this Supplement. Certain pricing metrics contain additional terms that pertain to Customer’s use of the Software.
3. Customer must provide Operating System and Authorized Hardware information to SAS prior to shipment of Software.

1. **Document Structure.** This Supplement, its Attachments, and the MLA (collectively, "**Agreement**"), govern Customer's license of the software listed above and its embedded subcomponents (collectively, "**Software**") and any related Documentation provided by SAS. Except to the extent allowed by law, Customer may not use the Software or Documentation (a) to create a commercial offering or product directly or indirectly competing with an offering or product from SAS, or (b) for the benefit of any person or entity where such use may result in the creation of a commercial offering or product directly or indirectly competitive with an offering or product from SAS. In the event of a conflict between the terms and conditions in this Supplement and those in the MLA, the terms and conditions in this Supplement shall prevail.
2. **Defined Terms.** Any initially capitalized terms not defined herein shall be as defined in the MLA.
3. **Pricing Metrics.** The pricing metrics described herein apply to the Software and any Software subcomponents listed on the Supplement Grid.

   3.1.1. **Total Budget** – During the Committed Term, the Software license fee is based on the value of the annual budget of Customer, including its Related Entities, as of the fiscal year end immediately preceding the License Beginning Date. Customer's Software license fees will not increase during the Committed Term even if Customer exceeds the Total Budget specified on the Software grid on page 1 of this Supplement. Following the Committed Term, if Customer's Total Budget exceeds the dollar threshold listed on the Software grid on page 1 of this Supplement, Customer shall notify SAS and additional fees may apply. Customer's Related Entities may access the Software and System described in this Supplement. For purposes of this Supplement, Permitted Data shall also include data derived from Related Entities' operations.

   3.1.2. **SAS Training Package –** The SAS Training Package is subject to the terms and conditions contained in Attachment D.
4. **Hosting of SAS Unified Insights.** Customer acknowledges and agrees that one installation of the SAS Unified Insights Software will be hosted onsite at SAS within its data center located in Cary, North Carolina. The SAS-hosted installation of SAS Unified Insights will be subject to additional general hosting terms set forth in Attachment, as well as the hosting services description set forth in Attachment B to this Supplement. To the extent Customer desires to increase or change the size restrictions in this section, for example by increasing the data storage limit, additional hosting services fees will apply. Nothing herein is intended to otherwise limit Customer's right to install or access the Software to the extent the Software is installed onsite at its location or within a separate public cloud provider.

   The following usage restrictions govern Customer's access to the Software hosted within the SAS datacenter:

   a. **1.5TB of data storage** - The amount of data storage for all System environments combined. The System will consist of two total environments, one for production and one for TEST/DEV. The TEST/DEV environment may be used solely for the purpose of testing, developing, or conducting other activities in preparation for the usage of the Software within the production environment.

   b. **16 Total Processor Cores** - The total number of process cores contained within the System environments. The processor core limitation will apply to both the production and the TEST/DEV environment.

   The data storage and processor core limitations set forth above have been sized based on an assumption that no more than fifty (50) total users will access the System during each applicable license period ("Suggested Users"). SAS has further assumed no more than fifteen (15) of the Suggested Users will access the System at any given time. Exceeding the recommended user limitation may negatively impact System effectiveness; in the event Customer determines the total number of Suggested Users should exceed fifty (50), additional data storage or total processor cores within the System may need to be purchased.
5. **Additional Services.** During the first annual period of the Committed Term, SAS will provide two sets of professional services ("Additional Services"), each as described in Attachment C to this Supplement. Additional Services do not include continued support or maintenance of any Work Product (as defined in the corresponding attachments).
6. **Committed Term.**

   6.1. **License Grant; Termination.** SAS hereby grants and Customer hereby accepts a license to use the Software for three (3) annual license periods commencing on the License Beginning Date ("Committed Term"). Notwithstanding the foregoing, either party may terminate the license in the event of a material breach of the terms of the MLA or this Supplement by the other party provided such breach is not cured within thirty (30) days of the breaching party's receipt of written notice from the other party. This right to cure does not apply to breaches that threaten to cause or have caused damage to or loss of all or part of SAS' intellectual property rights.

   6.2. **License Fees During the Committed Term; Invoicing.** The license fees during the Committed Term shall be payable in three (3) annual installments as follows:

Annual License Period	**Annual License Fee Installment**
First Annual License Period	$ 1,314,899 ($857,399 Software Platform + $457,500 Services)
Second Annual License Period	$ 456,090
Third Annual License Period	$ 456,090
Total License Fees During Committed Term	$ 2,227,079

The fees listed above are inclusive of the following: (1) license fees for the Software for each Annual License Period, (2) SAS hosting services fees for each Annual License Period, (3) additional professional services outlined in Attachment C, and (4) the SAS Training Package outlined in Attachment D.

The license fees set forth above do not include applicable taxes which will be added to SAS' invoices. If Customer desires to increase its usage of the Software beyond that agreed upon herein additional fees may apply.

SAS will invoice the first Annual License Fee Installment as soon as both parties sign this Supplement. Customer shall remit payment in the amount of $857,399 for the Software Platform service portion of the first Annual License fee within ninety (90) days from the date of mutual execution of this Supplement. Thereafter, Customer shall remit payment in the sum of $457,500 for the Services within one hundred twenty (120) days from the date of mutual execution of this Supplement. SAS will invoice the Annual License Fee Installments for the remaining Annual License Periods of the Committed Term approximately ninety (90) days prior to each annual Anniversary Date. Customer will pay such invoices net thirty (30) days regardless of whether Customer discontinues its use of the Software, or access to the System (as defined in Attachment A), prior to the expiration of the Committed Term. With respect to any non-SAS hosted installations of the Software, SAS will provide one (1) year Product Authorization Codes for each Annual License Period when SAS receives Customer's payment of the applicable Annual License Fee Installment. The fees set forth above are subject to the availability of funds appropriated under New York law. This Supplement and related MLA shall be deemed executory only to the extent the funding has been appropriated and available. The Customer shall have no liability beyond monies available and appropriated for payment under this Supplement.

6.3. **Renewal following the Committed Term.** Following the expiration of the Committed Term, the parties may renew the Software license annually in accordance with the Agreement unless otherwise mutually agreed by written amendment to this Supplement or execution of a different Supplement. Such license renewals shall be accomplished by SAS sending an invoice for the applicable Software license renewal fees and taxes and Customer paying the invoice.

7. **Territory**. The Software may be used solely for the benefit of Customer's operations in the Territory. Subject to US export restrictions, the Territory does not limit the location of Users or the Authorized Hardware. "User" means any individual authorized by Customer to access the Software on Customer's behalf. The Authorized Hardware may be physical hardware, a virtual machine, or a public or private cloud, regardless of whether such Authorized Hardware is located on Customer's premises or at another location.

8. **Complete Agreement.** This Supplement, including its Attachments, constitutes a separate agreement between Customer and SAS incorporating the terms of the MLA. The Agreement and invoices arising under it are the parties' complete and exclusive statement relating to their subject matter. Modifications must be in writing, signed by both parties, and specifically reference the Agreement. Obligations in the Agreement that by their nature are continuing survive termination or expiration of the Agreement. Additional or different terms on current or future Customer or third-party purchasing documents are expressly objected to and rejected.

[SIGNATURES FOLLOW]

The individuals signing below represent they have authority to bind the named parties to this Supplement. **UNLESS OTHERWISE AUTHORIZED UNDER THIS SUPPLEMENT, ONLY THE CUSTOMER ENTITY USING THE SOFTWARE MAY SIGN THIS SUPPLEMENT.** For example, unless specifically authorized hereunder, a parent company may not sign this Supplement on behalf of a Related Entity.

Accepted by:

Customer: City of Buffalo	**SAS Institute Inc.**
By _____	By _____
Authorized Signature	Authorized Signature
_____	_____
Name (type or print)	Name (type or print)
_____	_____
Title	Title
On _____	On _____
Date	Date

LGL3534/DEC19

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ATTACHMENT A: GENERAL HOSTING TERMS

A. Defined Terms. Capitalized terms used in any of the Attachments to this Supplement but not defined therein shall have the meanings contained in this section.

a. Business Day means Monday through Friday, 8AM eastern until 5PM eastern, excluding holidays observed by Customer or SAS.

b. Customer Marks means Customer's trademarks, service marks or trade names that are reproduced or displayed in the System.

c. Customer Materials means all Permitted Data, authentication credentials, software and other materials made available to SAS by Customer for use in the System.

d. Customer Service Provider means any contractor engaged by Customer to perform services associated with any part of the System.

e. Fees means the fees set forth in Section 6.2 of the Supplement.

f. Hosting Services means the hosting services SAS will perform under this Hosting Agreement as specified in Attachment B to this Supplement.

g. Permitted Data means (a) Customer's data derived from Customer's operations in the Territory, excluding data aggregated from other sources, including, but not limited to, data from Customer's related entities; (b) data purchased, licensed or leased from a third party by Customer; and (c) publicly available data (for example, national census data).

h. Personal Data means any information relating to an identified or identifiable natural person that (a) is included in the Customer Materials; or (b) relates to Users and is received by SAS in connection with the performance of the Hosting Services or Additional Services.

i. System means the software, documentation and Third Party Products, together with the applicable computer hardware, as they operate together for the Hosting Services.

j. Term means the "Committed Term" identified in Section 5 of the Supplement.

k. Third Party Products means any software or data which is licensed by SAS from a third party and included as part of the System for Customer's use and benefit as an end-user of the System and which is not part of a generally available SAS software product. SAS' licensors of certain Third Party Products require that Customer accept certain terms and conditions as set forth in Attachment B.

l. Users means the named employees of Customer and Customer's contractors who have access to the System to perform work for Customer. The number of Users authorized to access the System is specified in Section 3 of the Supplement

m. Work Product means any computer code, documentation, reports, or other deliverables created by SAS as part of the Hosting Services or Additional Services. Any such Work Product will be included in the definition of "System." SAS grants to Customer a nonexclusive, non-assignable and nontransferable license to use the Work Product solely in conjunction with Customer's authorized use of the System.

B. System Access Rights. In exchange for Customer paying the applicable License Installment Fee, SAS grants Customer the right for Users to access and use the System from and within the Territory for the benefit of Customer's operations in the Territory during the Term. Customer may use any documentation provided by SAS solely in support of Customer's authorized use of the System and receipt of the Hosting Services.

Customer may use the System or request that SAS use the System on Customer's behalf to process only Permitted Data and/or data provided by SAS as Third Party Products. Customer may not use the System, nor request that SAS use the System on Customer's behalf, in a data service provider, application service provider, solution service provider or marketing service provider arrangement, nor in any similar arrangement for which Customer provides results derived from use of the System to third parties, including, but not limited to, Customer's related entities, nor may Customer use such results for the benefit of third parties or Customer's related entities.

Except to the extent allowed by law, Customer may not use the System nor permit any other party or entity to use the System to develop a commercial offering or product directly or indirectly competing with an offering or product from SAS.

Customer will be responsible to SAS for any liability or damage SAS incurs arising from or related to use of the System by any User, Customer Service Provider or by any other party Customer allows to access the System, in a manner which is inconsistent with the terms and conditions of the Agreement or which violates SAS' rights under any applicable laws including, but not limited to, any laws that protect SAS' intellectual property rights.

C. Rights to Customer Materials. Customer grants SAS a non-transferable, non-exclusive, royalty-free right to use the Customer Materials and the Customer Marks for the purpose of performing the Hosting Services and any Additional Services during the Term.

D. Ownership.

The Supplement does not transfer any ownership rights with respect to the System. Neither party will delete, obscure or modify the other party's proprietary rights notices.

E. Warranties by Customer.

a. Intellectual Property Warranty. Customer warrants that: (a) it has the right to grant to SAS the right to use the Customer Materials and the Customer Marks; (b) it has obtained from the applicable provider of the Customer Materials the right for SAS to host and use the Customer Materials; and (c) Customer's use of the Customer Materials complies with all applicable license terms, terms of use and other usage terms as set forth by the providers of such materials.

b. Compliance Warranty. Customer warrants that the publication, transmission and receipt of all Customer Materials complies with all applicable local, state and federal laws and regulations, including, without limitation, laws relating to trademarks, copyrights, defamation, consumer protection, personal privacy and false or deceptive trade practices.

c. Virus Warranty. Customer warrants that it will not knowingly introduce any viruses into the System through the Customer Materials or otherwise.

F. Exclusions of Damages; Limitation of Liability; Indemnification. The exclusions of damage, limitations of liability, and indemnification sections in the MLA shall be deemed to apply to the Hosting Services and Additional Services.

G. Confidentiality. Each party acknowledges that it will have access to certain confidential information of the other party concerning the other party's business, plans, customers, technology, products and other information held in confidence by the other party (individuality or collectively, "Confidential Information"). Confidential Information also will include the Customer Materials as well as all information of either party in tangible or intangible form that is marked or designated as confidential. Except as otherwise provided by applicable law, Confidential Information also includes the terms and conditions of the Agreement or portion(s) thereof that are marked or designated as confidential; provided, however, that SAS may report the terms of the Agreement to SAS' licensors solely as required by agreements between SAS and such licensors.

SAS agrees to use the Confidential Information provided by Customer solely in connection with the Agreement. No other right or license, whether expressed or implied, in the Confidential Information provided by Customer is granted to SAS. All rights and title to the Confidential Information provided by Customer shall remain solely with Customer. All use of the Confidential Information by SAS shall be for the benefit of Customer.

The receiving party ("Recipient") will use the disclosing party's ("Discloser") Confidential Information received in connection with the Agreement only in conjunction with performance of its obligations under the Agreement. Recipient will not disclose Discloser's Confidential Information received in connection with the Agreement to any third parties unless Discloser gives Recipient its advance written authorization to do so. This restriction does not apply to information that is: (a) generally available to the public; (b) released by Discloser without restriction; (c) independently developed or acquired by Recipient; (d) known to the Recipient prior to receipt from Discloser; or (e) revealed pursuant to court order or as required by applicable law, provided that Recipient uses reasonable efforts to promptly notify Discloser of such requirement prior to compliance in order to permit Discloser to seek protection against disclosure. With respect to (e), SAS agrees that it shall not oppose and shall reasonably cooperate with efforts by, to the extent practicable, Customer with respect to any such request for a protective order or other relief. Notwithstanding the foregoing, if Customer is unable to obtain or does not seek a protective order and SAS is legally requested or required to disclose such confidential information, disclosure of such confidential information may be made without liability. Recipient's obligations of confidentiality hereunder with respect to each item of Discloser's Confidential Information will continue for a period of five (5) years from the date of initial disclosure. For the purpose of this Section, SAS' subsidiaries and subcontractors will not be deemed "third parties".

Both parties acknowledge that Confidential Information to be disclosed by Customer hereunder is of a unique and valuable character, and that the unauthorized dissemination of the Confidential Information would result in a significant security risk to Customer. The damages to Customer that would result from the unauthorized dissemination of the confidential information would be impossible to calculate. Therefore, both parties hereby agree that the Customer shall be entitled to seek injunctive relief preventing the dissemination of any Confidential Information in violation of the terms hereof. Such injunctive relief shall be in addition to any other remedies available hereunder, whether at law or in equity.

SAS shall notify Customer in writing upon discovery of any unauthorized use or disclosure of Confidential Information by SAS and will cooperate with efforts by Customer to help the Customer regain possession of Confidential Information and prevent its further unauthorized use.

H. Security. SAS will implement and maintain reasonable technical and organizational security measures that are designed to (i) protect against unauthorized System access and usage, and (ii) to protect Personal Data against unauthorized access, use, alteration, destruction or disclosure. Customer agrees that it will comply with any System usage rules or other security guidelines and procedures that are specified herein or that are otherwise made known by SAS to Customer through the System.

I. Data Protection.

a. Processing Purposes; Customer Instructions. SAS will use Personal Data only for the purposes of: (a) setting up, operating, monitoring and providing the System for use by Customer and Users; (b) providing the Hosting Services; (c) communicating with Users and Customer Service Providers; and (d) executing other agreed-upon written instructions of Customer.

b. Customer Obligations; Sensitive Information.

i. Customer will be responsible for providing any required notices and obtaining any required consents for the collection, use, processing, transfer and disclosure of Personal Data in connection with Customer's use of the System and SAS' provision of the Hosting Services and Additional Services.

ii. Customer will notify SAS in the event any Personal Data is subject to laws or regulations requiring specific deletion practices or retention periods.

iii. The Customer Materials will not include any (a) government-issued personal identification numbers (including but not limited to social security numbers, driver's license numbers, and passport numbers) (b) credit or debit card numbers, personal identification numbers (PIN), passwords or other electronic identification numbers or other information a person uses for payment or to access personal or financial information; (c) any patient, medical or other protected health information that is subject to the Health Insurance Portability and Accountability Act of 1996 or any similar national or state laws, rules or regulations; (d) any Personal Data concerning residents of the European Union that reveals racial or ethnic origin, political opinions, religious or philosophical beliefs, trade-union membership, or criminal record or history, or that concerns an individual's health or sex life or (e) any classified data or technical data controlled by the International Traffic in Arms Regulations (collectively, "Sensitive Information").

c. SAS Obligations

i. SAS will comply with (to the extent applicable) the SAS Solutions OnDemand Business Customer Privacy Policy, which is available at http://www.sas.com/en_us/legal/on-demand-privacy.html and is subject to change at SAS' discretion; however, changes will not result in a material reduction to the level of protection provided by SAS for such Personal Data during the Term.

ii. SAS will ensure that SAS employees and contractors authorized to process Personal Data are subject to appropriate confidentiality obligations.

iii. Through the use of appropriate technical and organizational measures, SAS will assist Customer in fulfilling Customer's obligation to respond to requests by individuals to exercise their rights under applicable law with respect to Personal Data. SAS will, as necessary under such applicable law, and at Customer's expense, either (i) provide Customer with the ability to correct, delete or block Personal Data stored in the System, or (ii) make such corrections, deletions or blockages on Customer's behalf.

iv. SAS will cooperate in good faith, at Customer's expense, in response to Customer's detailed and reasonable requests for assistance in complying with Customer's specific mandatory obligations under applicable law with respect to Personal Data but only to the extent that such obligations directly relate to the Hosting Services or Additional Services and Personal Data stored in the System. Customer will be solely responsible for fulfilling such obligations, including without limitation, making or obtaining any third-party notifications, filings, or approvals.

v. Upon expiration of the Term of, SAS will delete from the System or otherwise render inaccessible Personal Data and all copies thereof stored in the System, unless Customer notifies SAS prior to SAS' receipt of such Personal Data that the Personal Data is subject to laws or regulations requiring specific deletion practices or retention periods and such requirements are specified herein. Without limiting the generality of this Section, Customer agrees that SAS may (i) retain one copy of the Personal Data as necessary to comply with legal, audit or internal SAS requirements; and (ii) defer the deletion (or rendering inaccessible) of the Personal Data to the extent and for the duration that any Personal Data of copies thereof cannot reasonably and practically be expunged from the System and for such deferred period the "Security" and "Data Protection" provisions of the Agreement will continue to apply to such Personal Data.

J. Export and Import Restrictions. SAS hereby notifies Customer that the System is of United States of America ("United States") origin and United States export laws and regulations apply to the System. Both parties agree to comply with these and other applicable export and import laws and regulations. SAS will be solely responsible for compliance by SAS and its agents and representatives who access the System. Customer will be solely responsible for compliance by all other parties who access the System, including Users and Customer Service Providers. Customer's compliance obligations include ensuring: (a) that no International Traffic in Arms Regulations ("ITAR") data or other data controlled for export by agencies, other than the Bureau of Industry and Security or the Office of Foreign Assets Control, is imported into or used within the System; (b) that there is no access, download, export, re-export, import, or distribution to or of the System or any underlying information, technology or data except in full compliance with all laws and regulations of the United States and in full compliance with any other applicable laws and regulations; and (c) compliance with restrictions of countries other than the United States related to exports and imports. United States export classification information for SAS software can be found at SAS' Export Compliance website located at http://support.sas.com/adminservices/export.html. By accepting the Agreement and using and/or, if authorized, downloading SAS software or accessing the System, Customer agrees to the foregoing and represents and warrants that (i) neither Customer nor any User is a party to whom the United States prohibits access to SAS software or the System; (ii) neither Customer nor any User is located in, under control of, or a national or resident of any country or region to which export of SAS software or the System is restricted by laws of the United States or other applicable laws and regulations, including E:1 countries (currently Cuba, Iran, North Korea, Syria, and Sudan); (iii) neither Customer nor any User will use SAS software or the System in activities directly or indirectly related to the proliferation of weapons of mass destruction; (iv) neither Customer nor any User will share access to SAS software or the System with a party

identified in this paragraph; and (v) neither Customer nor any User will further export SAS software or the System without a license or other authorization from the United States.

K. Insurance. During the Term, SAS will keep the following insurance policies in force:

a. Workers Compensation - Statutory (in the amounts required by applicable state statutes);

b. Employer's Liability - $1,000,000 per occurrence; bodily injury by accident or disease, including death; and

c. Commercial General Liability - $1,000,000 combined limit per occurrence, bodily injury, personal injury and property damage, including blanket contractual liability.

In furtherance of its indemnification obligation set forth in the MLA, SAS shall provide to Customer certificates of insurance, including renewal certificates, evidencing the above-referenced coverages. Commercial General Liability certificate shall reference the Customer's status as an additional insured and certificate holder under said policy of insurance. SAS shall provide evidence of Employer's Liability coverage naming Customer as a certificate holder. Evidence of Workers Compensation coverage shall be submitted on the New York State Workers' Compensation Board approved form and must name Customer as a certificate holder.

L. Force Majeure. Except for Customer's obligations to pay the Fees, neither party will be liable to the other party for any failure or delay in performance caused by reasons beyond its reasonable control including, but not limited to, restrictions of law, regulations, orders or other governmental directives, labor disputes, acts of God, third-party mechanical or other equipment breakdowns, fire, explosions, fiber optic cable cuts, interruption or failure of telecommunication or digital transmission links, Internet failures or delays, cyber-attacks on information or information systems, storms or other similar events.

ATTACHMENT B: HOSTING SERVICES

Hosting Services. Using a SAS Cloud Analytics environment, SAS will provide the following Hosting Services: Install SAS Unified Insights within two environments hosted by SAS. The Hosting Services will include the activities described in this Attachment B.

1. During the Term, SAS will perform, either directly or through its third party provider(s), the following Hosting Services:

- 7 X 24 IT systems monitoring;
- infrastructure for the Hosting Services, including hardware, floor space, network and power;
- environment, including air conditioning;
- physical and logical security;
- operating system updates;
- regularly-scheduled back-ups; and
- SAS software and Third Party Products administration including installation of new generally available releases of SAS software and Third Party Products, application of hot fixes to SAS software provided by SAS' Technical Support division and application of hot fixes to Third Party Products provided by the Third Party Products' vendor, as required by SAS or requested by Customer. Any resulting data migration, configuration, or customization is not included as part of SAS software and Third Party Products administration and will be provided as Additional Services under a separate agreement with Customer and require payment of additional fees.

2. **Facilities**. The hardware used to host the System will be housed at an internet data center ("Internet Data Center"), which will consist of data center quality space with uninterruptible power systems ("UPS") protection, physical security, and fire suppression. Nothing in the Agreement is intended to or will constitute a lease to Customer of any real property with respect to the Internet Data Center.

3. **Backups**. SAS will perform regular backups of Customer Materials and Work Product stored within the System ("Backups"). Backups will be stored securely for specified periods and will be restored by SAS in the event of System failure, corruption or accidental removal or deletion caused by SAS. Restoration of Backups for reasons other than System failure or corruption or the actions of SAS may be performed at Customer's request but may incur additional fees.

4. **Technical Support**. During the Term, SAS will provide technical support to Customer for any SAS software included in the System in accordance with Section 7 of the MLA. Technical support for Customer Materials, if any, will be the responsibility of the provider of the Customer Materials. The provider of Customer Materials may contact SAS on behalf of Customer in conjunction with technical support issues in the event such provider believes the issue to be connected to the System.

5. **System Access Privileges**. Only those Users and Customer Service Providers expressly authorized by Customer will have the right to access the System. Customer will provide, through the SAS approved authentication and authorization interface, contact information for each such User and Customer Service Provider, including company name, first name, last name, and email address. Customer will only provide such information of its Users and Customer Service Providers as it is authorized to do so. Customer will secure the written consent of each User and Customer Service Provider before providing such information to SAS.

6. **Service Level Warranty for Hosting Services**.

6.1. Definitions.

6.1.1. Downtime means any period of unavailability of the System due to SAS' failure to provide Hosting Services for such period, excluding any such period of unavailability due to a Planned Outage, any outage due to Customer Materials or any outage beyond SAS' reasonable control.

6.1.2. Planned Outage means any outage resulting in unavailability of the System due to maintenance activities associated with the System or the Internet Data Center or any other outage as scheduled by SAS.

6.1.3. Service Credit means an amount equal to Two Thousand Five Hundred Dollars ($2,500.00).

6.1.4. System Maximum Monthly Downtime means seven (7) hours of Downtime per calendar month, which has been calculated based on a ninety-nine percent (99%) up-time level for the System.

6.2. Service Level Warranty. SAS warrants that the System will experience no more than the System Maximum Monthly Downtime during each calendar month during the Term provided all required Customer Materials are submitted to SAS by Customer in accordance with the Agreement ("Service Level Warranty"). SAS will monitor the Hosting Services and will determine Downtime. This Service Level Warranty will not commence until the System has been released for production use and will continue until the expiration or earlier termination of the Term.

6.3. Applicability.

6.3.1. The Service Level Warranty applies to Customer's production System(s) only and specifically excludes any telecommunications lines. The Service Level Warranty does not apply if Customer has exceeded the Suggested Users (including concurrent Suggested Users) limitation set forth in Section 4 of the Supplement.

6.3.2. The Service Level Warranty will not apply to: (a) any modification of the System by anyone other than SAS, its subsidiaries or its subcontractors; (b) Additional Services or technical support; or (c) any performance issues: (i) attributable to any cause described in the Force Majeure section of the MLA; (ii) that resulted from any actions or inactions of Customer or any third parties outside of SAS' control including, but not limited to third party provider(s); (iii) that resulted from Customer's equipment and/or third party equipment (not within the sole control of SAS or its representatives); (iv) that resulted from Customer's failure to comply with the System Usage Rules set forth in Section 8 (System Usage Rules) of this Attachment B; (v) attributable to the Customer Materials; or (vi) attributable to Third Party Products.

6.3.3. If SAS is unable to process Customer Materials as a result of the unavailability of the Customer Materials, SAS will notify Customer and Customer will make available to SAS the Customer Materials or the corrected Customer Materials, as applicable. Unavailability of Customer Materials includes, but is not limited to, (a) Customer's failure to make available the Customer Materials to SAS in a timely manner; (b) Customer's providing corrupt, incomplete or nonfunctional Customer Materials; or (c) Customer's altering the Customer Materials. SAS will process the Customer Materials or corrected Customer Materials as soon as commercially practicable after they are made available and will process any subsequently available Customer Materials sequentially thereafter, as applicable. SAS will notify Customer once any delays in the availability of the System are resolved. Any delays in the availability of the System occurring as a result of the Customer Materials will not be deemed a breach of the Service Level Warranty and SAS will not be liable for providing Customer with any Service Credits pursuant to Section 6.6 (Service Credits).

6.3.4. Any unavailability of the System occurring as a result of matters identified below in Section 6.4 (Planned Outages) or Section 6.5 (Temporary Service Suspensions) will not be deemed a breach of the Service Level Warranty and SAS will not be liable for providing Customer with any Service Credits pursuant to Section 6.6 (Service Credits) below.

6.4. Planned Outages. The System may be unavailable during a Planned Outage. SAS will use reasonable efforts to provide Customer with at least three (3) days' notice prior to a Planned Outage that will limit Customer's access to the System.

6.5. Temporary Service Suspensions. Customer's access to any portion or all of the System may be suspended if SAS reasonably determines that: (a) there is a threat or attack on the System (including a denial of service attack) or other event that may create a risk to the System, the Internet Data Center or any of its tenants, Customer or any other SAS customer; (b) Customer's use of the System or the Customer Materials disrupts or poses a security risk to the System or any other SAS customer, may harm the System, the Internet Data Center or any of its tenants, or any other SAS customer, or may subject SAS or any third party to liability; (c) Customer is using the System for fraudulent or illegal activities; (d) subject to applicable law, Customer has ceased to continue its business in the ordinary course, made an assignment for the benefit of creditors or similar disposition of its assets, or has become the subject of any bankruptcy, reorganization, liquidation, dissolution or similar proceeding; (e) Customer is using the System in breach of the Agreement; or (f) Customer is in default of its payment obligations hereunder and there is an unusual spike or increase in Customer's use of the System (collectively, "Service Suspensions"). SAS will use commercially reasonable efforts to provide written notice of any Service Suspension to Customer and will provide updates regarding resumption of availability of the System following any Service Suspension. SAS will have no liability for any damage, liabilities, losses (including any loss of data or profits) or any other consequences that Customer may incur as a result of any Service Suspension and Customer will not be entitled to Service Credits for any Service Suspension.

6.6. Service Credits. Service Credits will apply to Customer's production System(s) only. SAS will provide Customer with one (1) Service Credit for any calendar month in which the System Maximum Monthly Downtime is exceeded, provided that Customer requests each such Service Credit within seven (7) days of the end of such calendar month. Customer's failure to request a Service Credit within this timeframe will result in forfeiture of the Service Credit for that month. Any Service Credits received by Customer will be applied to reduce the immediately succeeding invoice, unless the Service Credit is due in the final period of the Term, in which case SAS will refund to Customer the amount available as a Service Credit.

6.7. Maximum Service Credits. Notwithstanding anything contained above in Section 6.6 (Service Credits) to the contrary, the maximum number of Service Credits available to Customer during the Term will be four (4) for each annual period.

6.8. Termination. Customer may terminate the Hosting Services for cause and without penalty in the event Customer receives a total of four (4) Service Credits during any annual license period and SAS has exceeded the System

Maximum Monthly Downtime in any subsequent calendar month during such annual period, provided Customer notifies SAS of its intention to terminate within five (5) days of the end of such subsequent calendar month.

6.9. Exclusive Remedies. Sections 6.6 (Service Credits), 6.7 (Maximum Service Credits) and 6.8 (Termination) state Customer's sole and exclusive remedy for any noncompliance with the Service Level Warranty. **SAS MAKES NO WARRANTY THAT THE SYSTEM WILL OPERATE ERROR-FREE OR WITHOUT INTERRUPTION OR THAT ANY DATA TRANSMISSIONS TO, FROM, OR THROUGH THE SYSTEM WILL BE COMPLETELY SECURE; PROVIDED, HOWEVER, THAT SAS WILL UTILIZE THE SECURITY MEASURES DESCRIBED IN SECTION 7 BELOW.**

7. Security. SAS will take reasonable technical and organizational security measures, as described in this Section, that are designed to protect against unauthorized System usage or access. Customer agrees that the security architecture specified below will be deemed to be reasonable security precautions. SAS will provide Customer with the standard security offering described below.

7.1. Network and Logical Security.

- Firewall Security:
  - Firewalls establish secure gateways.
  - Logging and address translation are all accomplished at the firewall.
  - Firewall configurations deny services until successful authentication.
  - Firewall access is restricted to secure access connections.
  - Changes to firewalls must be approved.
  - Configuration changes are monitored daily.
  - Logging of deny records only.
- Web applications within the System are accessible via authorized IPs (not exposed to the Internet).
- A security log management system that includes firewall logs is maintained.
- Routers and load balancers are configured to allow only necessary protocols to be routed to specific hosts.
- Anti-virus software used (Microsoft servers).
- Protection from unauthorized access:
  - Firewalls and routers are controlled via access control lists.
  - Server configurations record details about accesses.
  - Privileged access and authentication logs are regularly monitored and reviewed.
- System hardening.
- Daily threat assessment subscription.
- Vulnerability assessment performed on Internet-facing assets.
- System patch management - System center configuration manager:
  - Review, approve, and install patches and security updates as required.
- Privileged access for Customer environments:
  - Quarterly reviews of privileged access;
  - System administrator access is conducted through a secure connection.

7.2. Physical Security.

- Restricted access.
- Badge readers and multi-factor authentication.
- Badges must be worn and visible at all times.
- Access transaction report.
- Camera monitoring.
- Visitor access logging.

- Backup power supply.
- Fire suppression systems and monitoring.
- Environmental systems monitor and alert to humidity and temperature.
- Multiple Internet providers/gateways.

7.3. Personnel Security.

- Access to a hosting instance is available only after successful entry of a unique combination of User ID and password using strong password policies.
- Access to the hosted solutions will be restricted to those Users who require access.
- All Users must login with a User ID and password and require encrypted protocols over public networks.

7.4. Data Security.

- Non-public Customer Materials must be sent to SAS via encrypted protocols except where specifically agreed otherwise in writing by the parties.
- Customer Materials are logically separated within the hosting environment.
- Access to Customer Materials is limited according to the principle of least privilege.
- Backups are securely maintained.

7.5. Security Testing.

- SSAE 18 Service Organization Control (SOC 2 and 3) Type II audits completed annually by a third party. Upon request by Customer, SAS will provide a copy of such audit. Copies of any audits provided to Customer will be considered Confidential Information and subject to the confidentiality provisions contained in this Supplement.
- Global network penetration test conducted annually. Penetration test results are considered SAS' Confidential Information.
- Penetration tests performed for new and significantly-changed production applications that are exposed to the Internet.

7.6. Other Security Measures.

- System administrator authorization and server authentication will be employed as measures to protect data transfers. For externally facing access, server authentication will be accomplished using digital certificates issued by DigiCert or other reputable certifying authority.

8. System Usage Rules. These System usage rules ("Rules") cover Users' access to and use of the System. In the context of this Section, the term "Users" will include all Customer Service Providers who are authorized to access the System. Customer agrees that Users will adhere to and abide by all of these Rules and other written reasonable guidelines provided to Customer from time to time. SAS reserves the right to terminate or limit use of the System without notice in the event of any unauthorized access to or use of the System.

8.1. Access to the System. Customer will make available and maintain an appropriate and mutually agreed upon communications link and any other technology or hardware required for the System to operate properly between Customer and SAS. Any proxy services that are external to Customer must be sanctioned by Customer and approved by SAS before they may be used to access the System. Only Users may access the System. Customer will provide prior written notice to SAS of any changes to the User information and the list of Users. SAS will issue initial passwords, User IDs, and/or other verification codes (collectively "Passwords") to each User of the System. Thereafter, Passwords will be maintained by the User or designated Customer administrator who is an employee of Customer. Customer will not permit Users to allow any unauthorized person to have access to the System or their respective Passwords. Users will be responsible for maintaining the confidentiality of their respective Passwords and will notify SAS immediately upon becoming aware of any loss or theft of their Password or any unauthorized use of such Password.

8.2. Use of the System. Customer and Users will not:

- misuse or abuse any SAS or third party property (including, without limitation, software, equipment, networks, and network devices);
- make any unauthorized use of or interfere with any property of SAS, a SAS subcontractor or any SAS customer;

- engage in any activity in violation of the law or that aids or assists any criminal activity in connection with the access or use of the System;
- impair or disrupt any connections to the System;
- interfere or attempt to interfere in any manner with the functionality or proper working of the System;
- remove, obscure or alter any notice of ownership or any other intellectual or proprietary right appearing on or contained within the System;
- use any open source software in connection with the System in any manner that requires, pursuant to the license applicable to such open source software, that any part of the System be (a) disclosed or distributed in source code form; (b) made available free of charge to recipients; or (c) modifiable without restriction by recipients;
- reverse engineer, disassemble or decompile any part of the System; or
- upload any software or application(s) to the System except as expressly allowed subject to Section 8.4 (Customer Materials) of this Attachment B.

8.3. Prohibited Activities. Customer will not, and will not permit any User to, use the System to do any of the following:

- send unsolicited marketing material or communications in any form (commonly referred to as "SPAM");
- engage in any activities or actions that infringe or misappropriate the intellectual property rights of others, including, but not limited to, using third party copyrighted materials without appropriate permission, using third party trademarks without appropriate permission or attribution, or using or distributing third party information protected as trade secret information in violation of a duty of confidentiality;
- engage in any activities or actions that would violate the personal privacy rights of others, except as permitted by applicable law;
- send or transmit harassing, abusive, libelous, or obscene materials or assist in any similar related activities;
- intentionally omit, delete, forge, or misrepresent transmission information, including headers, return mailing, and Internet protocol addresses;
- engage in any activities or actions intended to misuse or abuse Users' Passwords or other Confidential Information;
- use the System for any illegal purpose, in violation of any applicable laws or regulations, or in violation of the rules of any other service provider engaged by or for the benefit of Customer; or
- assist or permit any person to engage in any of the activities described above.

If Customer becomes aware of any prohibited activities described in this Section, Customer will use reasonable efforts to remedy such activities promptly, including, if necessary, limiting or terminating a User's access to the System, and inform SAS of such activities.

8.4. Customer Materials.

8.4.1. Customer will be responsible for: (a) providing SAS, in a mutually agreed upon format, all Customer Materials required by Customer and (b) providing SAS all data sources and business rules necessary for input into the System. Failure by Customer to make available to SAS any required Customer Materials within the mutually agreed upon format and timeframe following execution of this Supplement may result in a delay in SAS' provision of the Hosting Services and/or Additional Services. Any schedule changes resulting from such delays will be managed through a change control process and additional fees may apply.

8.4.2. Where the Customer Materials include software and/or data licensed by the Customer, Customer must obtain (a) a license from the software and/or data provider for SAS to host and use such software and/or data and (b) prior written approval from SAS before such software and/or data may be used in conjunction with the System.

8.4.3. At Customer's request, SAS may make available certain third-party websites within the System ("Third Party Websites"). SAS disclaims all responsibility for the availability or security of the Third Party Websites and for any content that appears on the Third Party Websites. All such content will be deemed Customer Materials.

8.4.4. Customer will ensure that its use of the Customer Materials that Customer and Users store, collect, transmit, and receive, by or through the System, complies with all applicable laws, regulations and these Rules, and that Customer's use of such Customer Materials does not violate the license terms, terms of use, or other usage terms as set forth by the providers of such Customer Materials.

8.4.5. Prior to transmitting any data to SAS, Customer will complete and submit to SAS any applicable data classification form(s) as provided by SAS to Customer. Customer will transmit Customer Materials to SAS only using methods that have been designated by SAS for that purpose. If any Sensitive Information is sent to SAS in violation of the Agreement, Customer will be responsible for costs SAS incurs to extract, delete, remove and otherwise expunge or sequester such information from the System (collectively "Deletion Activities"). SAS will have no liability whatsoever for any loss of or damage to such Sensitive Information associated with such Deletion Activities. SAS has the right, but undertakes no obligation, to monitor the Customer Materials.

8.4.6. If Customer requires SAS to assist with qualification or validation activities related to the System, SAS must approve such activities in writing prior to their implementation. Customer will provide to SAS the appropriate information to enable SAS to qualify or validate the System as integrated with the Customer Materials. Additional fees may apply for any such qualification or validation activities.

8.4.7. SAS will have no obligation to provide any support, maintenance or upgrades pertaining to Customer Materials. Customer will be solely responsible for providing or arranging for the provision of all such services. Customer will be responsible for providing or arranging for the provision of all upgrades for Customer Materials, including up-to-date virus protections, and will coordinate the timing of the same with SAS. No warranties or indemnities made by SAS in the Agreement will apply to Customer Materials.

8.4.8. SAS reserves the right to disengage and take Customer Materials offline in the event of any emergency situation or any threat or perceived threat to the System related to the Customer Materials. SAS will not be responsible for any adverse performance impact to the System or Downtime attributable to Customer Materials or to any such disengagement. In addition, SAS will not be responsible for any compromises to the confidentiality, integrity, or availability of the System or of any Customer Materials that are attributable in whole or in part to Customer's use of Third Party Websites or Customer Materials.

8.5. Customer Service Providers. Customer will notify SAS prior to engaging any Customer Service Provider to perform services with respect to the System. The scope of the access to the System by any Customer Service Provider shall be mutually agreed upon by the parties. Access to the System by all Customer Service Providers is subject to SAS' prior consent which will not be unreasonably withheld. Customer will remain responsible for any access to the System by Customer Service Providers in any manner that is inconsistent with the terms and conditions of the Agreement or that violates SAS' rights under any applicable laws including, but not limited to, any laws that protect SAS' intellectual property rights. Any computer code or documentation delivered by Customer Service Providers will be considered Customer Materials and will be subject to the terms and conditions of the Agreement, including Section 8.4 (Customer Materials) of this Attachment B. SAS reserves the right to charge Customer additional Fees for any efforts required of SAS with respect to services provided by Customer Service Providers.

8.6. Modification of Rules. SAS may change these Rules upon thirty (30) days' notice to Customer, which notice may be provided by posting such new Rules on the System.

9. Security Audit. A Customer employee or an independent third party auditor mutually acceptable to both parties ("Auditor") may conduct, at Customer's expense, one (1) postal or on-site audit during the Term to verify that SAS is in compliance with its security and data protection obligations under the Agreement ("Security Audit"). Customer will conduct on-site Security Audits at SAS' corporate headquarters in Cary, North Carolina, USA during SAS' normal business hours. SAS will not be required during such Security Audit to disclose any information relating to other customers or to third parties. Customer must provide SAS with at least thirty (30) days' written notice prior to conducting an on-site Security Audit. On-site Security Audits must not interfere with SAS' normal business operations and will not exceed three (3) SAS Business Days. The Auditor must sign a confidentiality agreement with SAS prior to conducting the Security Audit and will comply at all times with SAS' security rules, policies and procedures. SAS will cooperate with the Auditor by: (a) making applicable records available; (b) providing copies of such records as requested for review by the Auditor on SAS' premises; and (c) directing SAS employees to reasonably cooperate. Customer may request additional Security Audits during the Term provided, however, that Customer may not conduct more than one (1) Security Audit during any twelve (12) month period. Notwithstanding the foregoing, exceptionally, and subject to the other conditions of this Section, Customer may conduct a Security Audit more than one (1) time in a twelve (12) month period if required by applicable law, an order of a regulatory authority, or as otherwise agreed by SAS.

10. Disclaimer of Actions Caused by, or Under the Control of, Third Parties. SAS exercises no control over the flow of information to or from the System, SAS' network, or other portions of the Internet. Such flow depends in large part on the performance of Internet services provided or controlled by third parties. At times, actions or inactions of such third parties can impair or disrupt connections to the Internet or portions of such connections. Although at all times during the Term, SAS will use commercially reasonable efforts to take all actions it deems appropriate to remedy and avoid such events, SAS cannot guarantee that such events will not occur. **ACCORDINGLY, SAS DISCLAIMS ANY AND ALL LIABILITY RESULTING FROM OR RELATED TO ALL SUCH EVENTS AND, EXCEPT AS OTHERWISE EXPRESSLY PROVIDED IN THE AGREEMENT, ANY OTHER ACTIONS OR INACTIONS CAUSED BY OR UNDER THE CONTROL OF A THIRD PARTY.**

11. <u>Additional Termination Rights</u>. In addition to SAS' termination rights set forth in the Agreement, SAS may suspend Customer's access to and use of the System immediately upon SAS' written notice to Customer, and terminate the Hosting Services upon thirty (30) days prior written notice (if Customer fails to cure any of the conditions in (a) through (c) below within such thirty (30) day period) if SAS reasonably determines that: (a) Customer's use of the System or the Customer Materials poses a security risk to the System or any other SAS customer, may harm the System or any other SAS customer, or may subject SAS or any third party to liability; (b) Customer is using the System for fraudulent or illegal activities; or (c) SAS' continued provision of System to Customer is prohibited by applicable law. Additionally, in the event any third party provider terminates an agreement pursuant to which SAS has acquired rights to use facilities or services necessary to provide the Hosting Services, SAS may, at SAS' option, by providing at least ninety (90) days' notice to Customer, either (a) terminate the Hosting Services, or (b) relocate the System to an alternate Internet Data Center and/or obtain other alternate facilitates or services to enable SAS' continued provision of the Hosting Services. In the event SAS terminates the Hosting Services in accordance with the immediately prior sentence, SAS will refund to Customer a pro rata portion of applicable fees paid by Customer for the Hosting Services calculated from the date of termination through the end of the Term covered by such payment.

12. <u>Third Party Terms</u>. The following terms apply, in addition to the terms and conditions of the Agreement, in the event Customer uses software owned by Microsoft Corporation (the "Microsoft Product," singularly, or the "Microsoft Products," collectively) as provided by SAS in conjunction with the System. In the event of a conflict between the following terms and the terms and conditions of the Agreement, the following terms will control.

(i) Customer may not remove, modify or obscure any Microsoft copyright, trademark or other proprietary rights notices that are contained in or on the Microsoft Products. Customer may not use any Microsoft logos in any manner whatsoever;

(ii) Customer may not reverse engineer, decompile or disassemble the Microsoft Products except to the extent that such activity is expressly permitted by applicable law;

(iii) Microsoft disclaims, to the extent permitted by applicable law, all warranties by Microsoft and any liability by Microsoft or its suppliers for any damages, whether direct, indirect or consequential, arising from the Microsoft Products;

(iv) SAS or a third party on SAS' behalf (and not Microsoft or its suppliers) will provide technical support for the Microsoft Products;

(v) SAS is required to submit periodic reports to Microsoft containing information about end users of the Microsoft Products. Customer understands and agrees that these reports may include Customer's name, location and basic information about Customer's usage of the Microsoft Products within the System. This disclosure is an exception to any confidentiality obligation SAS may have to Customer under any related agreement;

(vi) Microsoft will be deemed a third-party beneficiary to this Supplement with the right to enforce the terms of this Supplement and to verify Customer's compliance with the terms of the Supplement with respect to the Microsoft Products.

(vii) The Microsoft Products are not fault-tolerant and are not guaranteed to be error free or to operate uninterrupted. Customer may not use the Microsoft Products in any application or situation where the Microsoft Products' failure could lead to death or serious bodily injury of any person or to severe physical or environmental damage ("High Risk Use"). Examples of High Risk Use include but are not limited to: aircraft or other modes of human mass transportation; nuclear or chemical facilities; life support systems; implantable medical equipment; motor vehicles; or weaponry systems. High Risk Use does not include utilization of Microsoft Products for administrative purposes, to store configuration data, as engineering and/or configuration tools, or for other non-control applications the failure of which would not result in death, personal injury, or severe physical or environmental damage. These non-controlling applications may communicate with the applications that perform the control but must not be directly or indirectly responsible for the control function. Customer agrees to be responsible for any third-party claim arising out of Customer's use of the Microsoft Products in connection with any High Risk Use; and

(viii) Microsoft may remove or discontinue any Microsoft Product at any time. In such event, SAS will no longer offer such Microsoft Product for Customer's use.

ATTACHMENT C: ADDITIONAL SERVICES

SAS will provide two sets of Additional Services pursuant to this Supplement. The following terms shall apply to the delivery of both sets of Additional Services:

Additional Limited Warranties. SAS warrants that the Additional Services will be performed in a workmanlike manner and in accordance with the requirements set forth herein. As the exclusive remedy for breach of this warranty, SAS will refund the applicable fees paid for the Additional Services at issue. SAS further warrants that it has the right to license any Work Product to Customer. As the exclusive remedy for breach of this warranty, SAS will indemnify Customer as set forth in the indemnification section of the Agreement. **SAS DISCLAIMS ALL OTHER WARRANTIES WITH RESPECT TO THE ADDITIONAL SERVICES AND WORK PRODUCT, EXPRESS OR IMPLIED, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR ARISING AS A RESULT OF CUSTOM OR USAGE IN THE TRADE OR BY COURSE OF DEALING.**

Change Management. "Change Management" refers to a process for the parties to agree on a change or modification to the scope of the Additional Services, and "Change Order" refers to the document reflecting the change or modification. Requests by Customer or SAS for such changes will be made in writing to the other party. SAS will prepare the Change Order, which will contain the following information:

a. A description of any additional work to be performed and/or any changes to the performance required of either party.

b. A statement of the impact of the work or changes on the Additional Services and the project schedule.

c. The estimated timetable to complete the work specified in the Change Order.

d. The estimated time and cost of any additional work associated with the Change Order.

SAS will provide the proposed Change Order to Customer's project manager for review and, if additional fees will be charged, SAS will provide the proposed amendment to this Supplement. Customer's project manager will respond in writing to the proposed Change Order within five (5) Business Days. Each party must agree in writing to the Change Order. Pending such written agreement (and if additional fees will be charged, execution of the associated amendment), SAS will continue to perform as if such Change Order had not been requested or recommended. If Customer provides its acceptance of the proposed Change Order in writing and, if applicable, executes the proposed amendment, SAS' project manager will update the project plan to reflect the change(s).

I. Data Management Additional Services:

This Section I relates solely to certain Data Management (DM) and Data Governance (DG) services, or Data Assets Master Plan, SAS will provide to Customer ("Data Management Additional Services"). The Data Management Additional Services will be provided on a Fixed Price Basis, which means a pre-defined project model where the Data Management Additional Services for provided for a set fee. The fees for the Data Management Additional Services are included in the Annual License Fee Installment for the First Annual License Period.

With respect to each of the deliverables specifically identified below ("Deliverables"), each party agrees to respond to the other in a timely fashion when acceptance of a Deliverable is pending. After delivery, Customer will accept or reject a Deliverable within ten (10) Business Days. Failure to reject a Deliverable within this timeframe will constitute acceptance of the Deliverable. Notice of Customer's rejection of the Deliverable will be provided to SAS in writing and will specify the nature and scope of the deficiencies. In the case of rejection of the Deliverable, the parties agree to adhere to the following timeframes whenever reasonably possible in order to meet the schedule set forth above: SAS will use reasonable efforts to respond to Customer within five (5) Business Days after receipt of the rejection notice describing the manner and timeframe in which SAS proposes to correct any deficiencies, or by actually correcting the deficiencies. In the former case, Customer will use reasonable efforts to accept SAS' proposal for correcting any deficiencies within five (5) Business Days after receipt of SAS' proposal. Upon SAS' delivery of the corrected Deliverable, Customer will use reasonable efforts to accept the Deliverable within five (5) Business Days. Customer's failure to accept a Deliverable or to accept SAS' proposal for correcting any deficiencies gives SAS the right to terminate the Additional Services and refund fees paid for Work Product Customer returns to SAS.

The Data Management Additional Services are as follows:

1. Project Preparation

During the project preparation period SAS will work with Customer to setup and prepare for the project.

- Provide a list of Customer business and information technology artifacts for review and evaluation, which may include:
  - Example business, data, and functional requirements documentation
  - Architecture blueprints (including ETL, source systems, application/query support, etc.)
  - Existing data models, business/user metadata content, and database schema details
  - Artifacts reflecting existing data management, data stewardship, and/or data governance methods
  - Application inventories or profiles
  - Data flow and migration details illustrating onboarding and provisioning of data across various staging areas and repositories
  - Details reflecting Business Intelligence governance and application prioritization methods
  - Other technical/specification details as available

- Work with Customer to identify and schedule interviews and working sessions with key business and technical stakeholders and subject matter experts (SME).
- Finalize the engagement calendar and scheduling of working sessions, interviews, and readouts.

2. Business Data Portfolio

The Business Data Portfolio (Portfolio) will provide an opportunity to identify a top-of-mind list of reporting and analytical capabilities for Customer. SAS will use the Portfolio to provide scope for the DM, DG and Business Data Roadmap (BDR) phases of the engagement.

Step 1: Discovery

During Discovery, the SAS consulting team will work to gain an understanding of the reporting and analytical needs, capabilities, and challenges across the organization. Key activities during this phase may include: (i) Conducting stakeholder/small group interviews from across the different stakeholder groups within Customer, (ii) Distilling interview notes and client artifacts, and (iii) Facilitating read-out with sponsor(s) and key stakeholders

Deliverables:

- A presentation to the project sponsors; this presentation will include, but is not limited to:
  - A summarization of participant interviews
  - Key themes and observations
  - Business objectives and strategies identified by the stakeholders

Step 2: Portfolio Development

Based on the interviews and artifacts reviewed during Discovery, SAS will develop a portfolio of candidate reporting and analytical applications. The placemat artifacts at the end of this phase will set scoping and context for each of the applications in the Portfolio. Key activities during this phase may include:

- Analyzing interview notes and artifacts
- Developing Portfolio candidate capabilities
- Identifying data subject areas needed to support the Portfolio
- Identifying key stakeholders and key considerations for the Portfolio
- Developing Portfolio Capability Placemats

Deliverables:

- A Business Data Portfolio which graphically depicts key business capabilities/applications.
- Creation of application placemats describing each capability identified within the Portfolio; each placemat will contain:
  - Name and brief description of the application/capabilities
  - Sample business questions addressed by the application
  - Key business stakeholders/consumers
  - Required data domains
  - Business Intelligence/Analytic tool/technology capabilities
  - Any key considerations associated with the application

Step 3: Prioritization

The final step in development of the Portfolio will be prioritization. SAS will work with Customer to develop a comprehensive prioritization model to ensure delivery of the Portfolio aligns with Customer needs and that capabilities can be incrementally delivered. Key activities during this phase may include:

- Developing prioritization model inputs and weights (business value, achievability)
- Creating cross reference of Portfolio capabilities to data subject areas, stakeholder groups, and key initiatives; these are valuable inputs into prioritization.
- Facilitating prioritization working sessions with key stakeholders

Deliverables:

- Cross references of Portfolio to: Data subject areas, Stakeholder groups, and Key initiatives
- Creation of a prioritization model
- Creation of a prioritized Portfolio

3. Data Management Strategy

During this phase, SAS will review current organizational and technology capabilities and perform a best practice gap analysis to create a data management strategy. This phase will conclude with a set of recommendations in key areas for improvements to process, organization, or technology.

Step 1: Discovery Key Steps

- Performing a series of interviews with identified stakeholders and subject matter experts (primarily technology) who are or will be engaged in delivery of the Portfolio; interviews will have an emphasis on the following data management (DM) categories:
  - Business Engagement

- Data Architecture
- Data Administration
- Data Governance
- Data Quality
- Data Security
- Metadata
- Reference and Master Data Management
- Data Warehousing and BI/Analytics
- Data Life Cycle Management

- Reviewing and analyzing process, design and technical artifacts gathered as inputs to the project
- Prioritizing key business needs
- Providing a read-out of key findings at the end of the phase

Deliverables

- Creation of a DM category/sub-category best practice description.
- Read-out presentation for stakeholders that includes: (i) Synopsis of interview and artifact review, (ii) Key observations, (iii) Key themes, and (iv) Identified risks and issues

Step 2: Analysis

After gaining an understanding of the current business and technical capabilities of Customer, SAS will perform a best practice gap analysis and identify key areas for improvement. Key activities during this phase include:

- Evaluating and scoring Customer's incumbent capabilities and processes against DM best practices; assessment categories include:
  - Business Engagement
  - Data Governance
  - Data Security
  - Data Life Cycle Management
  - Data Quality
  - Data Architecture
  - Data Administration
  - Data Warehousing and BI/Analytics
  - Reference and Master Data Management
- Developing actionable steps for addressing key challenges and best practice gaps that may include, but are not limited to:
  - Enhancements to development processes
  - Architectural changes or improvements
  - Changes to the existing data architecture
  - Improving or implementing DM and DG practices
  - Skills enhancements or assessment activities

Deliverables:

- DM Scorecard which identifies Customer's current state capabilities and processes against best practices within categories defined above including: (i) Category/Sub-category description and best practices, (ii) Status against best practice (Complies, Enhance, Gap), and (iii) Key findings in each category/sub-category
- Creation of a strategy for closing key technology, organizational, or process best practice gaps that includes: (i) Current State Impact, (ii) Action Plan, and (iii) Qualitative Key Benefits
- Identifying areas of focus BDR
- Identifying technical risks and issues

4. <u>Data Governance Strategy</u>

SAS will define formal DG processes that support delivery of the Portfolio and solve for the DM challenges learned during the discovery process.

- Defining an organizational blueprint for DG including key DG functions (e.g. councils or stewardship teams), associated roles and responsibilities and rules of engagement with existing organizations or processes
- Developing DG Charter, which may include the following: Guiding principles, Program objectives, Decision-making bodies, and Decision rights
- Recommending a specific DG approach for Customer.
- Presenting DG strategy to key stakeholders and executives
- Developing key DG operating artifacts and templates for use by Customer

Deliverables:

- DG Program Strategy for closing key technology, organizational, or process best practice gaps that includes current state impact, action plan, and qualitative key benefits
- Initial DG Program Charter defining key objectives, goals and guiding principles

- DG Organization Framework
- DG Communications and Training Approach
- DG operating artifacts, which may include:
  - Training material
  - Program operating procedures
  - Metrics
  - Communication plan
  - Program roles and responsibilities
  - Workflow template(s)
  - Policy and procedure template(s)

5. Business Data Roadmap

The final phase of the engagement will be the consolidation of results from the Portfolio, DM Strategy, and DG Strategy phases into a comprehensive, actionable plan to address recommendations and enable the successful delivery of the Portfolio. The BDR will consider organization, technology, and process.

- Defining a high-level program strategy and approach
- Consolidating next step activities for delivery of the BDP, DM enhancements, and the DG organization
- Developing an integrated Roadmap that:
  - Aligns with business enablement and delivery issues identified over the course of the engagement
  - Supports the technology goals and objectives identified by stakeholders
  - Includes both short-term tactical and longer-term activities
  - Delineates activities in short-, medium-, and longer-term phases
- Identifying key risks and considerations

Deliverables

- BDR and implementation timeline that: (i) Provides consolidated prioritization from all phases of engagement, (ii) Identifies activities and work streams, and (iii) Provides visibility into future state prioritization and potential investment needs
- Mitigation plan for identified key organizational, process, or technological risks

The Data Management Services are subject to the following assumptions. Modifications or changes to the assumption listed below may result in the change management process and additional fees.

- A Customer project sponsor will be available on a regular basis to meet with SAS for progress updates.
- Customer will provide a resource to schedule interviews, orient the team, secure meeting and workspace, obtain badges/security clearance, web/intranet ids and other information resources.
- The number of stakeholders or SME interviews conducted during Discovery will be limited to four per day. Initial discovery will be completed during the first two (2) weeks of the engagement and be limited to a maximum of thirty (30) interviews.
- Conformance to time frames is contingent on client participation and stakeholder sessions or interviews being scheduled in advance of any on-site work.
- Prior to project kickoff, SAS will conduct a planning call with Customer project sponsors.
- Travel fees are included in the Annual License Fee Installments set forth in Section 6.2 of the Supplement.

II. General Consulting Additional Services

The following relate solely to certain general consulting service hours SAS will provide to Customer ("General Consulting Additional Services"). SAS's time and limited a license to any Work Product resulting from the General Consulting Additional Services are the only deliverables to be provided to Customer. During the first annual period, SAS will provide up to 2080 hours ("Available Hours") directed towards providing the following activities:

- Importing and exporting raw data from various sources
- Creating data sets- tables, graphs, or lists
- Analyzing data to locate trends and other relevant information
- Writing up reports to present data to Customer management
- Other tasks that may be mutually agreed upon by both parties

The fees for the total Available Hours are included in the Annual License Fee Installment identified for the First Annual Period in Section 6.2 of the Supplement. SAS will internally track the Available Hours and will provide the number of hours remaining to Customer on a monthly basis, or otherwise upon request. The report will include details relating to (a) the number of hours used to date, (b) total hours remaining, (c) a description of tasks completed in the immediately preceding period, (d) anticipated tasks for the coming period (if known). Neither party shall have any obligation with respect to the performance of, or payment for, General Consulting Additional Services beyond the depletion of the Available Hours. Customer shall not be entitled to any refund of any fees paid to SAS and SAS shall not be obligated to deliver any unused hours. Any unused Available Hours will expire at the end of the first annual period. Travel fees for the General Consulting Additional Services are included in the Annual License Fee Installments in Section 6.2 of the Supplement; however, SAS reserves the right to deduct one hour the total Available Hours for every Two Hundred Dollars ($200.00) of travel expenses incurred.

ATTACHMENT D: SAS TRAINING PACKAGE

A. Components. The SAS Training Package listed in the Supplement Grid of this Supplement shall be composed of the following:

- One (1) Custom Learning Portal during the Committed Term
- SAS e-Learning for fifty (50) Users during the Committed Term.
- Up to twenty (20) days of Onsite Training Courses or Private Live Web Courses during the Committed Term
- Up to seventy-five (75) Hours of Curriculum Mentoring during the Committed Term

B. SAS Custom Learning Portal. During the Committed Term, SAS will provide Customer with access to a SAS Custom Learning Portal ("CLP"). SAS will customize the CLP which may include the following:

- Identification of appropriate enablement assets
- Instruction on how to set up Authorized Users
- Training on how to set up Authorized Users
- Customer's logo
- Custom welcome messages
- Online private registration for formal classes, workshops, and Lunch & Learns
- Link to schedules for SAS' public course offerings
- Links to requested white papers, videos, recordings, tutorials, SAS Certification Preparatory Guides, books, eBooks
- Robust reporting on e-Learning access, usage, progress, and completion
- Link to SAS Public Communities page
- Client monitored online forum
- Calendar that posts events hosted by client or SAS

Upon completion of the initial CLP customization, any updates and additions to the CLP requested by Customer will be made in SAS' sole discretion and within a reasonable period of time following approval by SAS.

C. **SAS e-Learning.** During the Committed Term, Customer will receive unlimited access to SAS e-Learning Courses for up to 45 Users. Customer may only access the e-Learning on the SAS website or through the CLP. Customer hereby agrees that the use of the e-Learning is subject to the clickthrough terms which Customer must accept before accessing the e-Learning. Customer specifically agrees that it will not disclose, distribute or make available the download/access codes to the e-Learning other than to authorized Users.

D. **On-Site or Private Live Web Training.** During each annual license period of the Committed Term, Customer may request up to twenty (20) days of on-site training courses or private live web courses. These on-site or private live web trainings are limited to fifteen (15) students per training class.

E. Curriculum Mentoring. During each annual license period of the Committed Term, Customer may request up to seventy-five (75) hours of curriculum mentoring. Mentoring sessions may occur onsite or via live web.

F. **Cancellation Policy.** SAS reserves the right to cancel or reschedule any and all products and services at its discretion. SAS reserves the right to deny training to any party prohibited by applicable law or regulation, including, but not limited to, United States export laws and regulations. SAS is not responsible for Customer's airline penalties related to the cancellation of SAS courses or events. Please be aware of all airline restrictions regarding nonrefundable airline tickets when purchasing an airline ticket.

- Onsite and Private Live Web Courses: The Customer may cancel on-site courses without charge if notification is received by SAS by phone or in writing no later than 21 days prior to the course start date. Rescheduling a course less than 21 days prior to course start date is considered a cancellation, and a cancellation fee of 50% of the total fee for the scheduled training will be charged and invoiced separately. Rescheduling a course less than 10 calendar days prior to course start date is considered a cancellation, and a cancellation fee of 100% of the total fee for the scheduled training will be charged and invoiced separately.

G. Work Product. SAS grants Customer the right to use any Work Product resulting from the Training Services to the same extent it does for the Additional Services described in Attachment C to this Supplement.

H. Course Materials. Individual participants in the Training Services may retain copies of any training materials provided by SAS during the training (collectively, "Course Materials"). Such Course Materials are included in the definition of Work Product and may only be used by the individual participants for the individual participant's personal use. Course Materials may not be distributed to any other individual at the Customer or provided to a third party in either modified or unmodified form. Customer may not use the Course Materials to teach or create its own ongoing training, regardless of whether such training is for internal or external use.

I. Customer Materials. The warranties Customer makes in Attachment B of this Supplement regarding Customer Materials shall also apply to Customer Materials supplied with respect to the Training Package. SAS disclaims all liability of any kind for Customer Materials. Customer will not provide to SAS any sensitive or personally identifiable data as it relates to the Training Services.

J. General. The confidentiality terms, technical support, disclaimer of warranties, limitation of liability, and indemnification provisions stated in the MLA and within this Supplement shall apply to the Training Package described in this Attachment.